

✓ Quick Quiz ANSWERS

Partnership Default Rights

1. Billy cannot use the copyrights from the songs created by the band as collateral for his personal auto loan. Under the default rules of partnership property, partnership property is any property held in the partnership's name or used by the partnership to conduct its business. The copyrights are legally held in joint tenancy by the partnership, and no single partner can use the property for personal purposes.
2. Billy cannot sell the copyrights to the band's music to a record label. This would amount to an extraordinary act outside the ordinary course of business. In the absence of a partnership agreement, any substantial transaction requires unanimous consent among all the partners. The sale of the band's copyrighted music may prevent the band from exercising control over the music it plays, and this may prevent the band from continuing its business. Further, the copyrights to the music are a substantial asset held by the partnership.

3. Yes, hiring a band manager is generally within the ordinary course of business for a band. D'Arcy has the right to sign contracts of this nature that bind the partnership.

Limited Partner Liability

1. Enrique will not incur liability as long as he only provides advice at these quarterly meetings. The advice may or may not be taken by the general partners and does not amount to control.

Unlimited Personal Liability

2. Offering a personal guarantee of partnership debts will likely not expose Enrique to liability since he is not taking an active management role in the business.
3. Actively trading on behalf of the partnership may mean Enrique loses status as a limited partner and becomes a general partner with personal risk of liability.